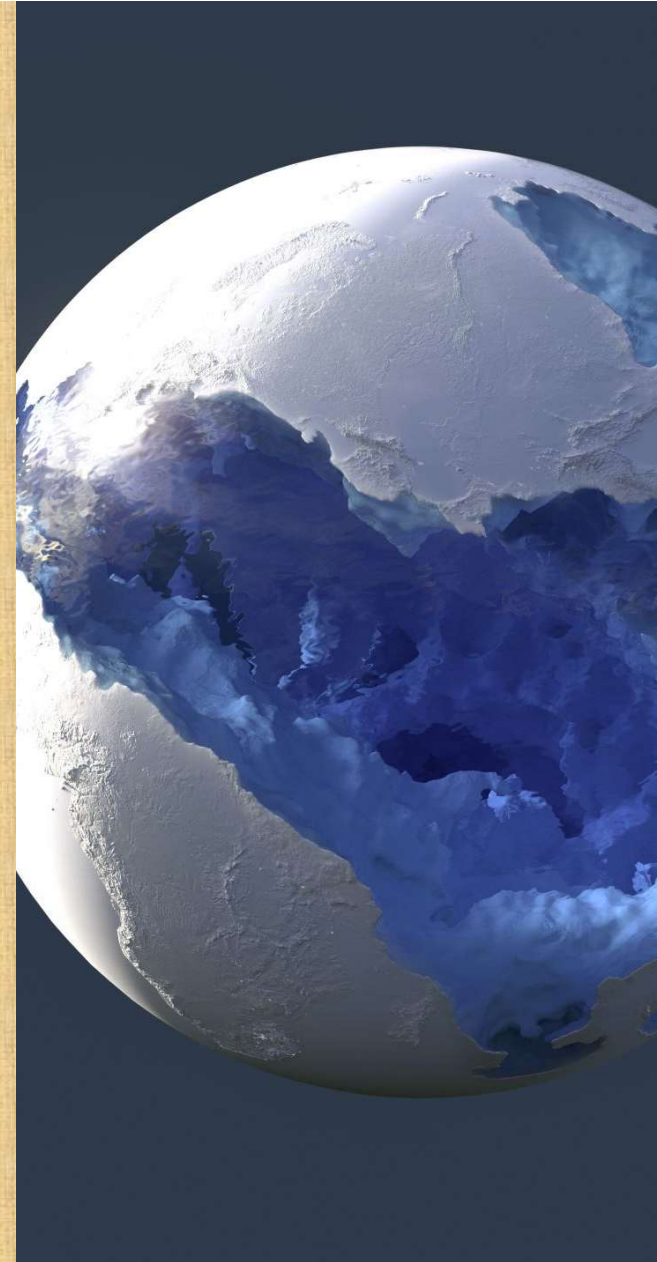


Internal Audit course

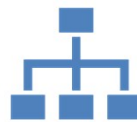
Presented by:

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Quality Consultant

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Introduction to Internal Audit



**Systematic,
independent
evaluation of
organizational
activities**



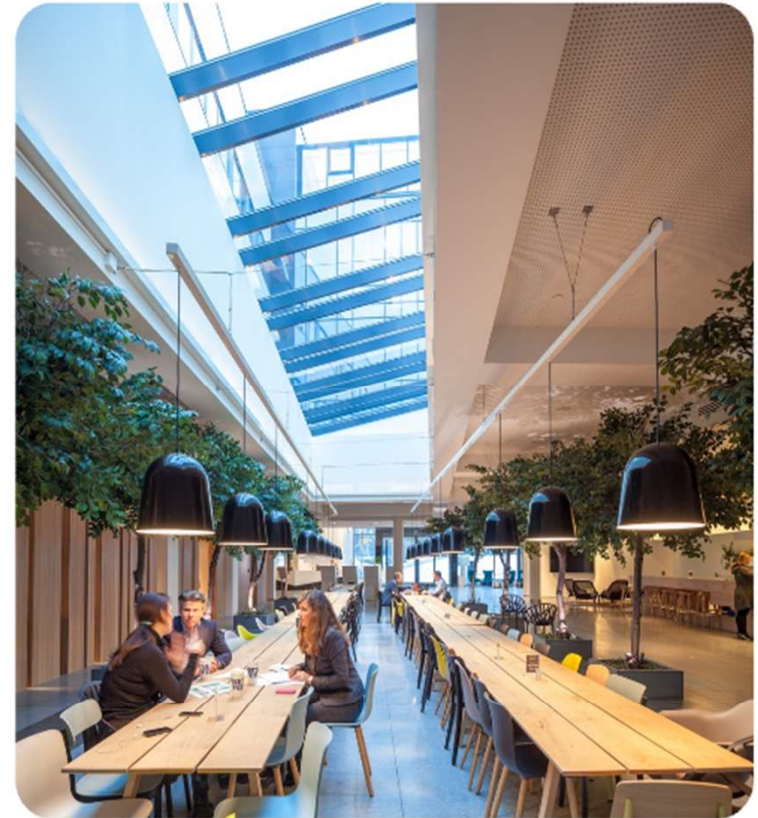
**Ensures
compliance with
policies, laws,
and regulations**



**Provides
assurance on
risk
management
and control
processes**

Requirements for Internal Audit

ISO 9001 Clause 9.2 mandates that organizations must conduct internal audits at planned intervals to determine whether the quality management system conforms to the organization's own requirements and to the requirements of ISO 9001.



9.2 Internal Audit

9.2.1 The organization shall conduct internal audits at planned intervals to provide information on whether the quality management system;

a) conforms to:

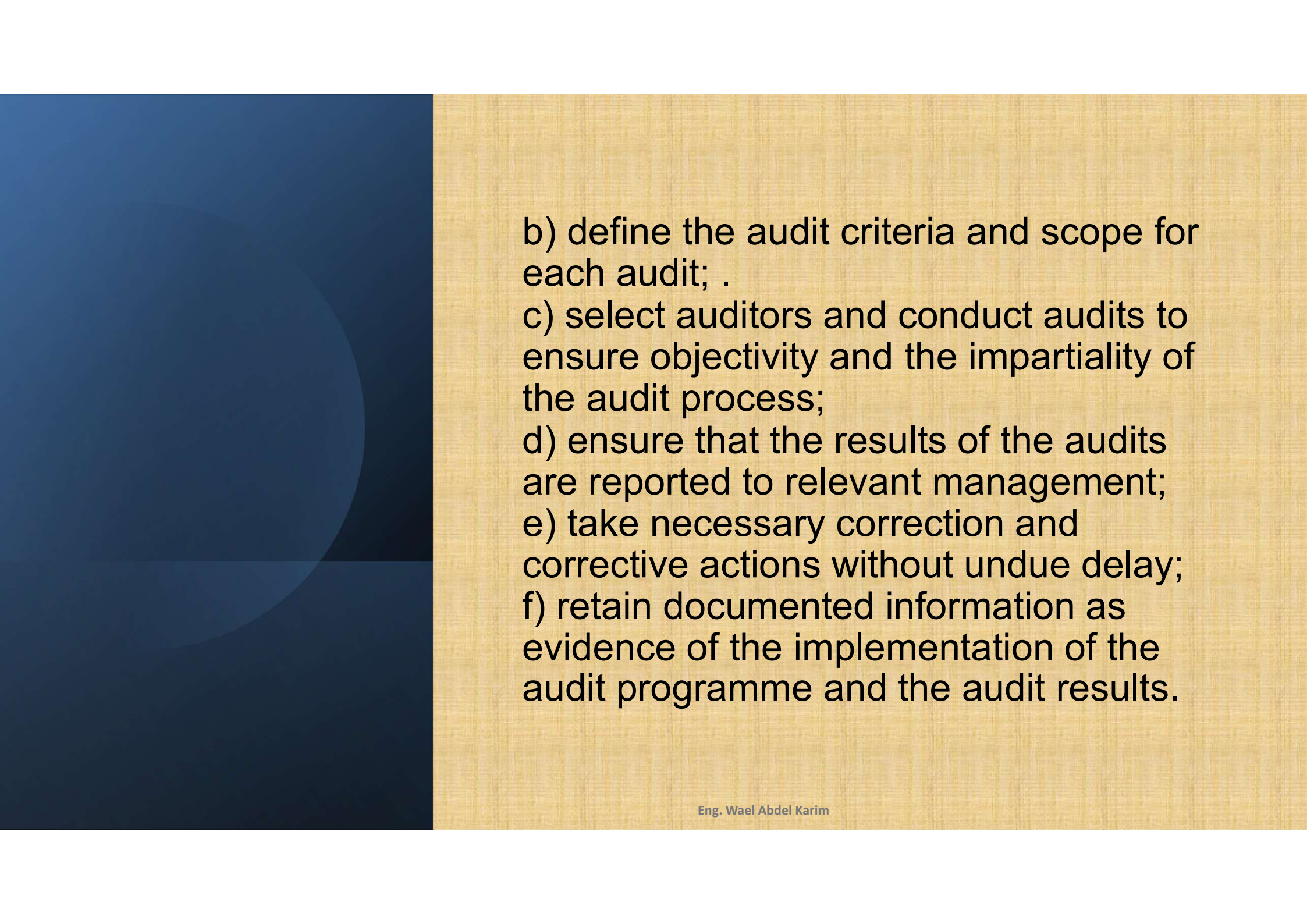
1) the organization's own requirements for its quality management system;

2) the requirements of this International Standard;

b) is effectively implemented and maintained.

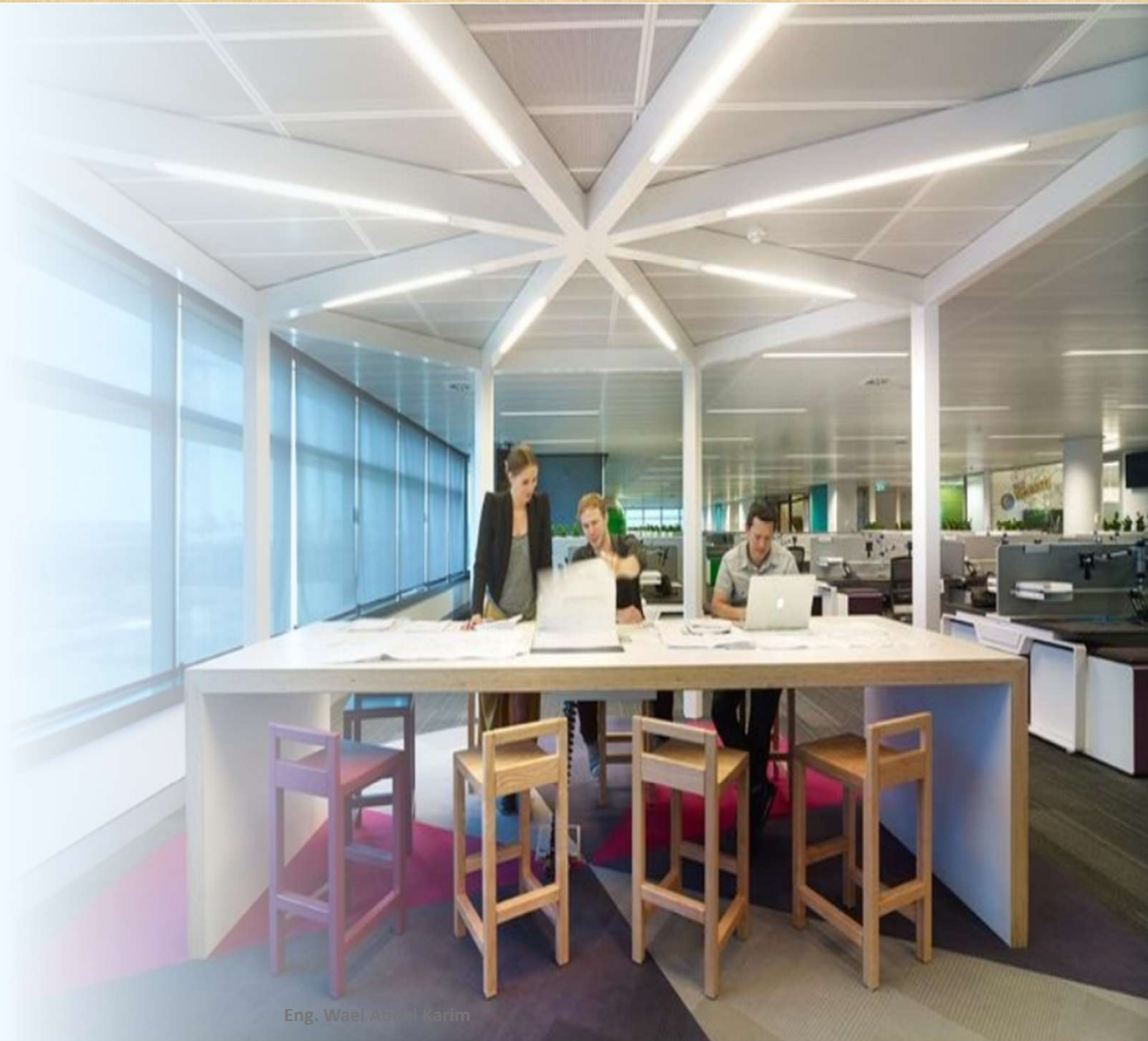
•9.2.2 The organization shall:

- a) plan, establish, implement and maintain an audit programme(s) including the frequency, methods, responsibilities, planning requirements and reporting,
- which shall take into consideration
- the quality objectives,
- the importance of the processes concerned
- customer feedback,
- changes impacting on the organisation,
- the results of previous audits;

- 
- b) define the audit criteria and scope for each audit; .
 - c) select auditors and conduct audits to ensure objectivity and the impartiality of the audit process;
 - d) ensure that the results of the audits are reported to relevant management;
 - e) take necessary correction and corrective actions without undue delay;
 - f) retain documented information as evidence of the implementation of the audit programme and the audit results.

Purpose of Internal Audit

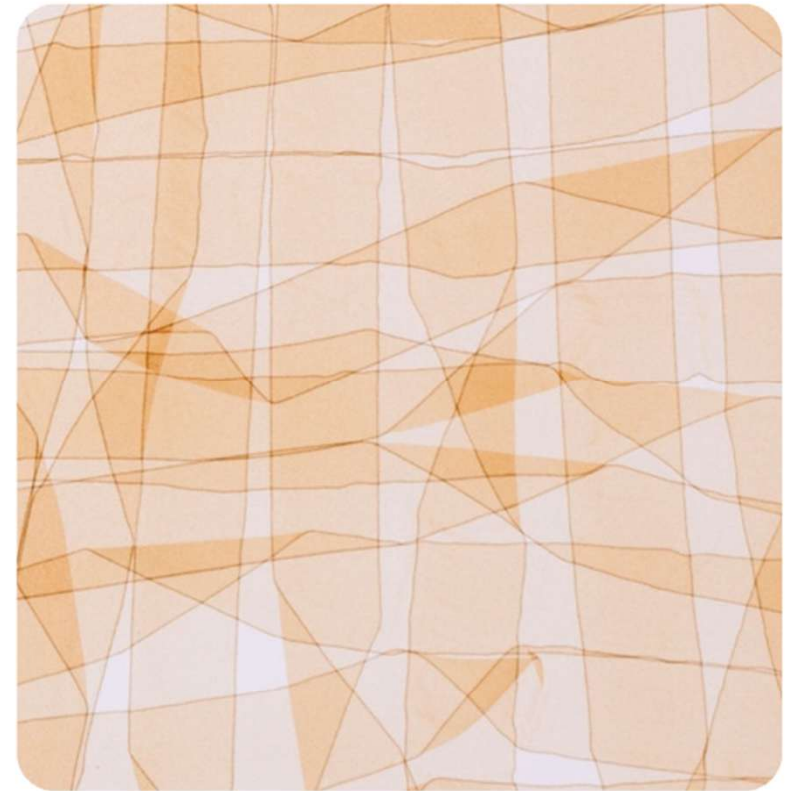
Internal audits play a crucial role in ensuring that organizations adhere to ISO 9001 standards. They help identify process inefficiencies and areas for improvement, driving continuous enhancement in quality management practices.



Eng. Wael Abdel Karim

Frequency of Audits

Audits should be performed at planned intervals, which should be defined in the audit program to ensure thorough coverage of the quality management system.



Responsibilities of Auditors

Auditors are responsible for planning audits, conducting audits, reporting results, and ensuring that follow-up actions are taken on nonconformities identified during the audit.



Objectives of Internal Auditing

Evaluation	Evaluate effectiveness of management system
Support	Support management system decision making
Identify	Identify risks and opportunities
Improve	Improve management system performance.

Audit Program & Plan

A structured approach to effectively managing the internal audit process is essential for compliance and improvement.



Audit Program Development

Establishing a comprehensive framework that outlines the objectives, scope, and frequency of audits.



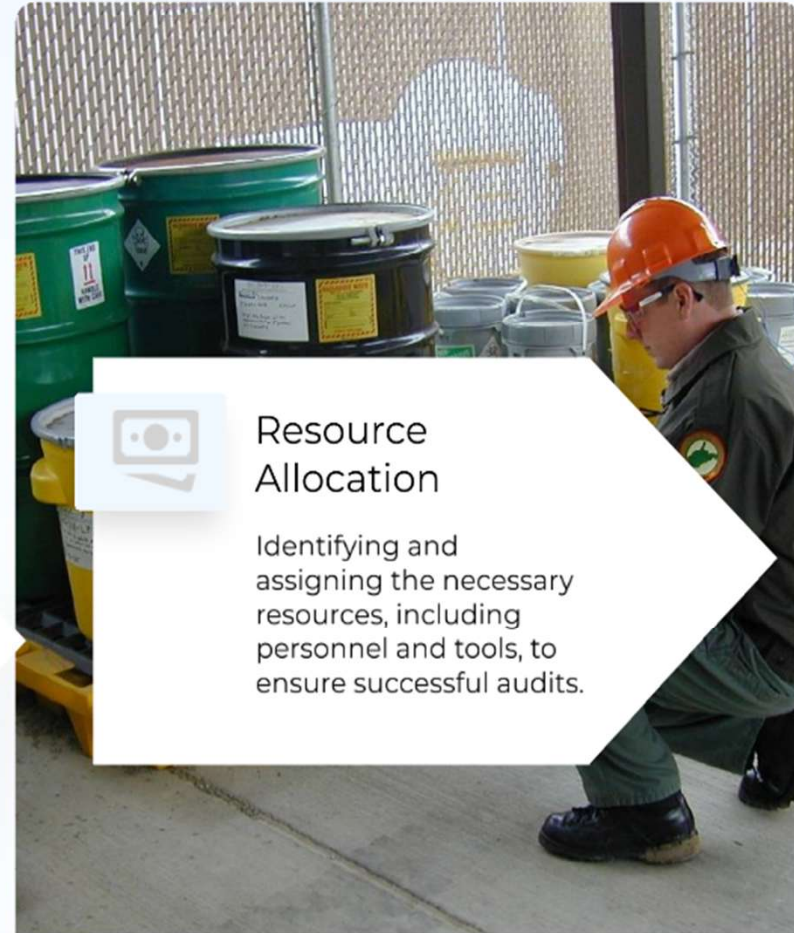
Audit Schedule Planning

Creating a detailed timeline that specifies when audits will take place and who will conduct them.



Resource Allocation

Identifying and assigning the necessary resources, including personnel and tools, to ensure successful audits.



Auditor Requirements



Relevant educational background



Certification in auditing practices



Strong analytical skills



Effective communication skills



Knowledge of quality management systems

Roles and Responsibilities of Internal Auditors

Assess	Assess internal controls and risk management
Provide	Provide recommendations for improvement
Maintain	Maintain objectivity and independence
Communicate	Communicate findings to management and stakeholders

Defining the Scope of the Audit

The scope of the audit outlines the boundaries and extent of the audit activities, ensuring that all relevant areas are covered and defined to meet ISO 9001 requirements. It includes identifying processes, departments, or systems that will be evaluated during the audit.

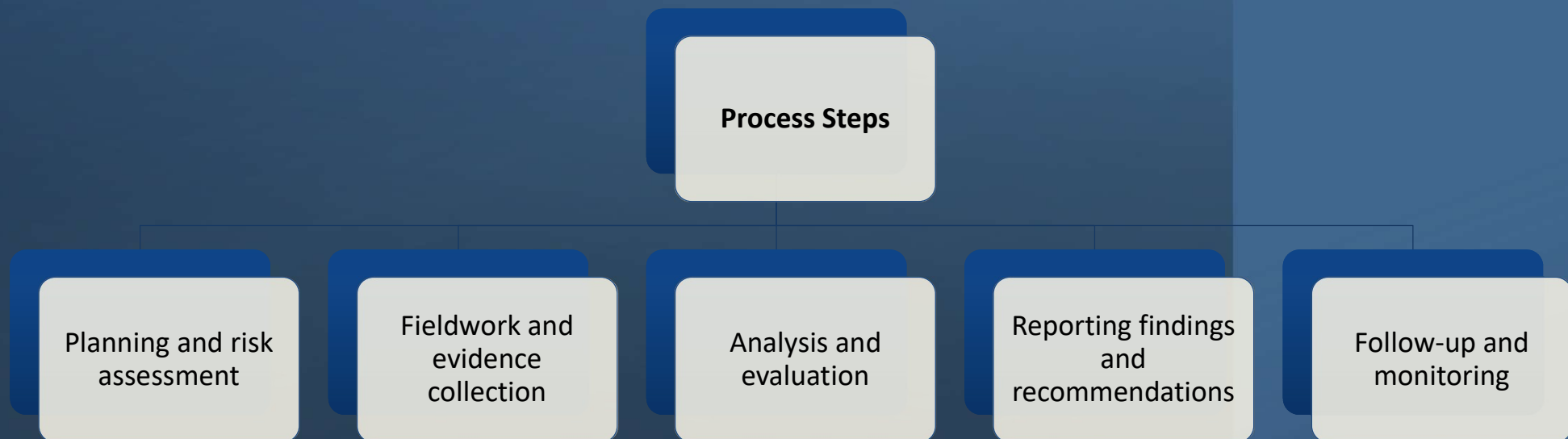


Criteria for Evaluation

Evaluation criteria are the standards or benchmarks against which audit evidence is compared. These criteria can be based on ISO 9001 standards, company policies, or industry best practices, guiding auditors in assessing compliance and performance during the audit.



Internal Audit Process Steps



Tools and Techniques



**AUDIT
MANAGEMENT
SOFTWARE**



**DATA ANALYTICS
TOOLS**



**RISK ASSESSMENT
FRAMEWORKS**



**SAMPLING AND
TESTING
METHODS**



**INTERVIEWING
AND
OBSERVATION
TECHNIQUES**

DATA ANALYTICS TOOLS

BI	Business intelligence (BI) Ex.: Microsoft power BI.
S & DS	Statistical & Data science tools Ex.: Python
D & Q	Databases & Query Engines Ex.: SQL server
ST	Spreadsheet Tools. Ex.: Microsoft Excel.

WHY DATA ANALYTICS TOOLS IMPORTANT

Make	Make evidence-based decision .
Identify	Identify patterns and trends
Improve	Improve operational efficiency
Spot	Spot risks and opportunities



• **Reporting and Follow-up**

- Prepare clear and concise audit reports
- Highlight key findings and recommendations
- Discuss results with management
- Monitor implementation of corrective actions

•Definition of non conformities

- Nonconformities: Deviations from the established requirements of the ISO 9001 standard and can indicate areas where the quality management system is not functioning as intended.
- Identifying these discrepancies is crucial for maintaining compliance and improving processes.

•Types of nonconformities

Types of nonconformities include minor & Major nonconformities.

- Minor nonconformities are less serious and often don't affect the overall system .
- Major nonconformities indicate significant issues that could impact compliance .

Handling and Reporting Nonconformities

Handling nonconformities involves documenting the issue, investigating the root cause, implementing corrective actions, and verifying the effectiveness of those actions. Reporting nonconformities ensures transparency and allows for tracking improvements over time.



Benefits of Internal Audit



Strengthens quality management system



Facilitates risk identification



Promotes continuous improvement



Enhances organizational accountability



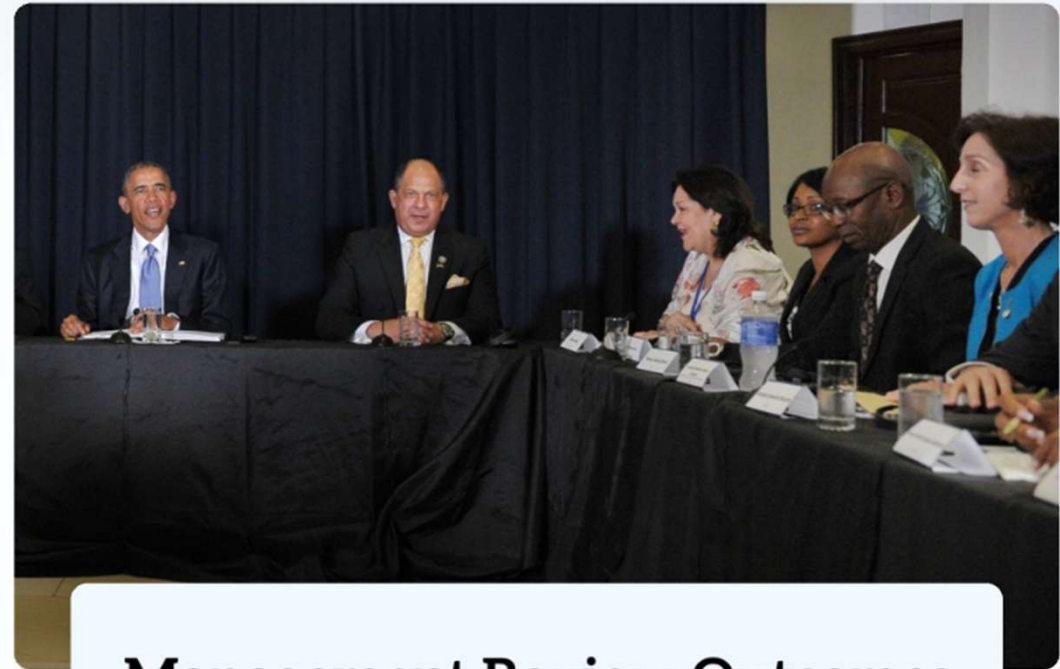
Increases operational effectiveness

Audit Findings

Audit findings provide critical insights into the effectiveness of the quality management system, highlighting areas that need attention and improvement. They serve as a foundation for informed decision-making during management reviews, ensuring that management is aware of compliance levels and operational performance.



Management Review



Management Review Outcomes

Management reviews focus on evaluating the overall performance of the organization's quality management system, taking into account not only audit findings but also customer feedback, process performance, and strategic objectives. This holistic view aims to drive continuous improvement and alignment with business goals.

- Continuous improvement mindset

Adapting a continuous Improvement mindset encourages organizations to not only rectify identified issues but also to innovate processes leading to long sustainability and quality enhancement

Importance of Internal Audit in Organizations



**IMPROVES
GOVERNANCE
AND
ACCOUNTABILITY**



**ENHANCES RISK
MANAGEMENT**



**SUPPORTS
STRATEGIC
DECISION-
MAKING**



**PROMOTES
OPERATIONAL
EFFICIENCY**



**BUILDS
STAKEHOLDER
CONFIDENCE**

•Conclusion

- Internal audit is vital for organizational success
- Provides assurance and adds value
- Requires skilled professionals and structured processes